



The Big League

While India's growth has been led by services, it will be interesting to find out if manufacturing accounts for more entrants into the big league in the next 10 years

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A DEEP DIVE INTO India's top 500 companies always makes for engrossing reading. After all, it is on the shoulders of these institutions that rest our dreams of emerging as a global economic powerhouse. And despite battling a mind-boggling number of odds—demonetisation, GST, Covid-19, war-induced commodity shocks, inflation and a decade-long earnings slowdown—they seem to be in good shape, ready to move into a higher gear, growing in scale and influence at a time when their global counterparts appear mired in challenges.

The stock market senses this, and stocks of Indian large-cap companies have held up admirably well over the year gone by. Flat, yes, but that itself is no mean feat in a year of such pervasive turbulence. The biggest firms have consolidated nicely, and at the top the names on the BT500 list for 2022 haven't changed much with the familiar Reliance Indus-

tries, TCS, HDFC Bank, Infosys and HUL holding on to their pole positions. ICICI Bank and HDFC have swapped positions and SBI has crept up on them with its stellar run of late. LIC, once thought to be the country's most valuable company, barely makes it into the top 10. But the dominance of these biggies is unquestionable as the top 10 names account for nearly 30 per cent of the combined average market capitalisation of the top 500 companies. The big are not only not ceding ground to challengers; they seem to be getting

even bigger. And this is the challenge for the names between the top 100 and 500—can they grow faster and bridge the gap? Or will the big boys use their financial and technological muscle to stay ahead of the pack?

This question is made even more interesting by the opening up of global opportunities in manufacturing amidst all the problems in China. This could be a game changer, more so for the larger mid-caps that have already attained a critical size and can scale up quickly to tap new opportunities. In a sense, the firms in the 100 to 500 bracket may be perfectly placed to capitalise on a manufacturing boom akin to what the IT companies may have seen at the start of the millennium. The sectors offering such opportunities range widely from chemicals and green energy to electric vehicles and auto parts. In the past two decades, India's growth has primarily been led by services, and while that continues to be an enduring growth story, it will be interesting to see if it is the manufacturing sector that accounts for many more entrants into the big league over the next decade.

On the subject, the name that leaps out from the top 100 companies in the current list is Adani. The group has its critics, and many in business circles are leery of its meteoric rise, but it is still astonishing to suddenly see as many as seven

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